Supply-chain Exposure: TWFE-2SLS

	First stage		Sample		Second stage		
Shock / sample	Big 4	KP F	Firms	Firm-years	Any failure	Fin restatement	Violation
Panel A: Full period							
Supplier	0.013**	4.52	5,625	63,857	-1.620	-1.693*	-0.192
	(0.006)				(1.043)	(0.989)	(0.524)
Customer	0.002	0.09	5,623	61,979	-2.863	-5.204	-0.006
	(0.006)				(10.517)	(17.525)	(3.539)
Customer or supplier	0.005	0.97	5,622	57,996	-2.765	-3.437	-0.169
	(0.005)				(3.163)	(3.665)	(1.124)
Panel B: Through 2012							
Supplier	0.020**	4.15	2,274	20,733	-1.864*	-1.559*	-0.581
	(0.010)				(1.069)	(0.860)	(0.502)
Customer	0.004	0.11	2,210	19,843	1.093	-1.457	1.340
	(0.011)				(4.368)	(4.848)	(4.525)
Customer or supplier	0.004	0.27	2,158	18,326	-3.584	-4.312	-0.498
	(0.009)				(7.191)	(8.439)	(1.770)

Controls: size, leverage, loss, ROA, Z-score, change in leverage, report lag, CFO, age, and nine missing indicators.
Fixed effects: firm and industry × year. Standard errors: clustered by firm.

Notes: Each row reports a separate instrument/sample specification. The first-stage column reports the exposure coefficient for current-year Big 4 appointment; the three right-hand columns report the instrumented Big 4 coefficient. All outcomes are joint indicators of failure and a non-modified audit opinion (MAO=0); Fin is the financial-restatement definition. Coefficients and standard errors use raw 0/1 units. The first stage is identical across the three outcomes within each row. Exposed firms retain event years −5 through +5; never-exposed firms retain all eligible years. First stage, reduced form and 2SLS use the same observations. KP F is the Kleibergen–Paap statistic. Network relationships exclude tender sources. Supplier, customer and their union are estimated separately. Panel B requires all included outcome years to be no later than 2012. Standard errors are in parentheses; stars use conventional clustered inference. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Weak-instrument confidence sets for DID-IV are available in the accompanying workbook.